

Securities and Exchange Commission that Informix had committed accounting fraud, the company later restated its revenues, wiping away \$244 million in such “sales.” This case is a keen reminder of the importance of reading the fine print with a skeptical eye. I am indebted to Martin Fridson for suggesting this example.

8 Martin Fridson and Fernando Alvarez, *Financial Statement Analysis: A Practitioner’s Guide* (John Wiley & Sons, New York, 2002); Charles W. Mulford and Eugene E. Comiskey, *The Financial Numbers Game: Detecting Creative Accounting Practices* (John Wiley & Sons, New York, 2002); Howard Schilit, *Financial Shenanigans* (McGraw-Hill, New York, 2002). Benjamin Graham’s own book, *The Interpretation of Financial Statements* (HarperBusiness, New York, 1998 reprint of 1937 edition), remains an excellent brief introduction to the basic principles of earnings and expenses, assets and liabilities.

***** Of Graham’s four examples, only Emerson Electric still exists in the same form. ELTRA Corp. is no longer an independent company; it merged with Bunker Ramo Corp. in the 1970s, putting it in the business of supplying stock quotes to brokerage firms across an early network of computers. What remains of ELTRA’s operations is now part of Honeywell Corp. The firm formerly known as Emery Air Freight is now a division of CNF Inc. Emhart Corp. was acquired by Black & Decker Corp. in 1989.

***** This measure is captured in the line “Net per share/book value” in Table 13-2, which measures the companies’ net income as a percentage of their tangible book value.

***** In each case, Graham is referring to Section C of Table 13-2 and dividing the high price during the 1936–1968 period by the low price. For example, Emery’s high price of 66 divided by its low price of 1/8 equals 528, or a ratio of 528 to 1 between the high and low.

***** At the end of 1970, Emerson’s \$1.6 billion in market value truly was “enormous,” given average stock sizes at the time. At year-end 2002, Emerson’s common stock had a total market value of approximately \$21 billion.

***** Graham was right. Of the “Nifty Fifty” stocks that were most fashionable and highly valued in 1972, Emery fared among the worst. The March 1, 1982, issue of *Forbes* reported that since 1972 Emery had lost 72.8% of its value after inflation. By late 1974, according to the investment researchers at the Leuthold Group in Minneapolis, Emery’s stock had already fallen 58% and its price/earnings ratio had plummeted from 64 times to just 15. The “overenthusiasm” Graham had warned against was eviscerated in short order. Can the passage of time make up for this kind of excess? Not always: Leuthold calculated that \$1000 invested in Emery in 1972 would be worth only \$839 as of 1999. It’s likely that the people who overpaid for